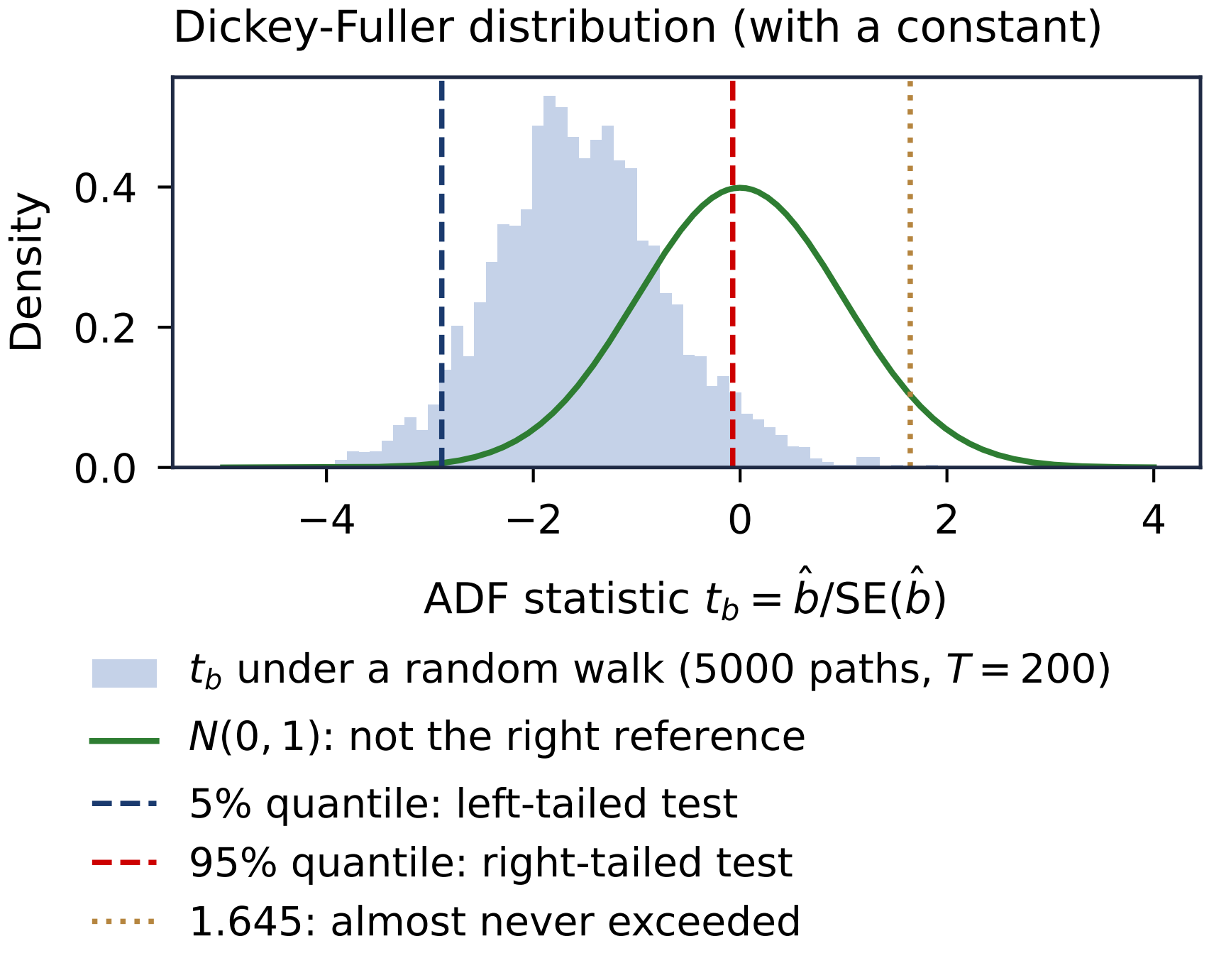
Dickey-Fuller distribution (with a constant)
Density
0.0
0.2
0.4
−4
−2
0
2
4
ADF statistic $t_b = \hat{b}/\mathrm{SE}(\hat{b})$
t_b under a random walk (5000 paths, $T = 200$)
$N(0, 1)$: not the right reference
5% quantile: left-tailed test
95% quantile: right-tailed test
1.645: almost never exceeded